Corporation would be one of the most successful companies in the twentieth century?

When Microsoft was filing an initial public offering, *Popular Science* magazine was predicting that personal aero-cars would replace the family automobile by the twenty-first century. These carlike flying machines would take off and land in your driveway and eliminate all traffic jams. Today, there are no aero-cars in driveways, but almost every household has at least one home computer, phone, game, or other electronic device running Microsoft software.

Fad investing can be addictive—and costly. Many of the same people who suffered in the tech stock bubble and bust from 1996 to 2000 also suffered in the real estate boom and bust from 2003 to 2008. There are other fad traps that occurred recently. Alternative energy themes were the rage in 2008 when the price of oil hit $150 per barrel. Those stock prices collapsed by year-end when oil prices were back under $50. China stocks are all the rage. Unfortunately, a great economic growth story often becomes a stock investor's disaster. Gold is the hot investment as I write this second edition in early 2010. An ounce of gold reached $1,200 recently, and some people believe it will double to $2,400. We shall see.

An alternative to picking the right fad at the right time is to hire a smart and informed mutual fund manager to do it for you. Unfortunately, uncovering the next star mutual fund manager is just as difficult as predicting the next fad. Most people select mutual funds based on past performance. They use ratings put out by companies such as Morningstar, Inc., in Chicago. Cash flow studies show that a vast majority of new mutual fund contributions flow into funds that have recently received a 5-Star Morningstar rating for performance. The belief among investors is that these funds will outperform in the future. That is not likely.

Buying the Stars is not a reliable way to pick a winning fund. Five-Star ratings typically do not persist, especially when a rush of new money comes in and creates an insurmountable challenge to the fund manager to invest it. This typically means changing investment strategy, which is not what earned them the 5-Star rating.

Many best-performing managers this year will be next year's mediocre managers, or worse. "In the active fund business, nothing fails like success," according to John Bogle, the father of index fund investing. Performance chasing is such a huge issue that the Securities and Exchange